

November 19, 2018

Via e-mail (Secretary@fmc.gov)

Ms. Rachel E. Dickon
Secretary
Federal Maritime Commission
800 N. Capitol St., N.W.
Washington, D.C. 20036

Re: Reply in Support of Petition 03-18

Dear Secretary Dickon:

The National Industrial Transportation League hereby submits its Reply in support of Petition 03-18 (“Petition”) submitted by the World Shipping Council (“WSC”) which seeks an exemption from the ocean carrier service contract filing and essential-terms publication requirements set forth in 46 U.S.C. §§ 40502(b) and (d). The Petition also proposes amendments to the Commission’s service contract rules at 46 C.F.R. Part 530 that are consistent with the exemption.

The League believes that granting the requested exemption would benefit the ocean transportation industry by eliminating unnecessary and costly regulatory burdens on ocean carriers. Further, the exemption would promote competition between ocean carriers and non-vessel operating common carriers (“NVOCCs”), since NVOCCs were recently exempted from the duty to comply with the same regulatory burdens.¹ Although service contracts would no longer be filed with the Commission if the exemption is granted, the League believes that FMC oversight of ocean carrier contracting activities can and should still occur under the Commissioner’s complaint and recordkeeping procedures.

Founded in 1907, the League is a national organization of shippers and other companies engaged in freight transportation throughout the United States and around the globe. Many League members are importers and exporters that use the services of vessel operating common carriers (“VOCCs”). The League was at the forefront of the efforts to adopt the Ocean Shipping Reform Act of 1998 (“OSRA”) and has historically supported regulatory reforms that foster a competitive and efficient ocean transportation system while also reducing unnecessary regulation. Accordingly, the League has a substantial interest in this proceeding.

Under the Shipping Act of 1984, as amended by OSRA, the Commission may grant an exemption from a regulated activity if it finds that “the exemption will not result in substantial

¹ FMC Docket No. 17-10, *Amendments o Regulations Governing NVOCC Negotiated Rates Arrangements and NVOCC Service Arrangements* (July 19, 2018).

November 19, 2018

Page – 2 –

reduction in competition or be detrimental to commerce.”² The League supports eliminating the service contract filing and essential-terms publication requirements, because they impose regulatory costs and burdens without any meaningful corresponding benefit. The League is unaware of shippers who need or routinely rely upon contract essential-terms that are published in ocean carrier tariffs. Further, based on the tens of thousands of service contract filings and hundreds of thousands of filed contract amendments, the Commission does not have the resources to regularly audit the filed contracts. Indeed, the Commission’s Annual Report for FY 2017 revealed that combined there was more than 800,000 filings of service contracts and amendments.³ Thus, granting the exemption would eliminate the substantial administrative costs associated with this huge regulatory burden.

The exemption would also increase flexibility and responsiveness to the market by allowing shippers to begin shipping under service contracts immediately upon execution, without having to wait for them to be filed. Further, it would promote competition in the industry by placing VOCCs on the same footing as NVOCCs, who are no longer burdened by contract-filing and essential-terms publication requirements. Accordingly, the Commission should find that eliminating the ocean carrier contract filing and essential terms publication requirements would not substantially reduce competition or be detrimental to commerce and, thus, satisfies the exemption criteria in the Act.

The League also supports the requested exemption because, to the extent the Commission needs access to service contracts to perform its oversight functions, it can obtain them through its existing recordkeeping rules. These rules provide adequate access to service contracts by requiring VOCCs to maintain service contracts and their amendments for five years and produce them to the Commission within 30 days of the agency’s request.⁴ Thus, continuing to require service contract filing and essential-terms publication is unnecessary.

The League strongly supports preservation of the existing service contract recordkeeping and audit rule at 46 C.F.R. § 530.15. While the Petition does not propose eliminating this rule, the Commission should ensure that it is retained. Without the service-contract filing requirement, this recordkeeping and audit rule will be a critical mechanism for the Commission to compel disclosure of service contracts in response to an industry issue or a shipper complaint. Removing the recordkeeping and audit rule could undermine the Commission’s oversight of service contracts. Indeed, based upon increasing consolidation amongst ocean carriers, League members favor vigilant FMC oversight of ocean carrier activities, especially those that are performed with immunity from the antitrust laws.

² 46 U.S.C. § 40103(a).

³ Federal Maritime Commission 56th Annual Report for FY 2017 at 19.

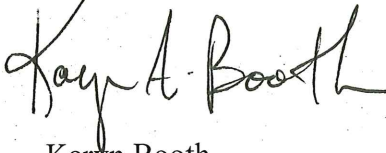
⁴ See 46 C.F.R. § 530.15.

November 19, 2018

Page – 3 –

For the foregoing reasons, the League believes that the service-contract filing and essential-terms publication requirements are not needed and, thus, impose unnecessary regulatory costs and burdens. Eliminating them will not be detrimental to commerce or substantially reduce competition. Thus, the League respectfully requests that the Commission grant the exemption and establish a rulemaking as requested in the Petition.

Sincerely,

A handwritten signature in black ink, appearing to read "Karyn A. Booth". The signature is fluid and cursive, with the first name "Karyn" and last name "Booth" clearly distinguishable.

Karyn Booth

Jason Tutrone

Attorneys for the National Industrial Transportation League

CC: Wayne Rohde (wrohde@cozen.com)